

Freelancer Finance OS

Product Requirements Document (PRD)

GST-compliant invoicing + automated bookkeeping for Indian freelancers
who work with international clients

Document 3 of 3 — Product Requirements Document
(see Document 1 for the Phased Roadmap, Document 2 for Technical Design / HLD-LLD)

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1. Overview

Freelancer Finance OS is a web platform that combines **GST-compliant invoicing** and **expense/bookkeeping tracking** into a single tool for Indian freelancers and independent consultants — with a specific wedge for those who bill **international clients** and need multi-currency invoices, export-of-services (LUT / zero-rated GST) handling, and a simple view of their real profit and tax liability.

This PRD defines *what* is being built and *why*, with detailed functional requirements and acceptance criteria for the MVP (Phase 1). It should be read alongside Document 1 (business roadmap/phasing) and Document 2 (technical architecture, schema, API design).

1.1 Problem Statement

- Freelancers below the GST threshold still need professional, correctly-formatted invoices; those above it are legally required to issue GST-compliant invoices with correct HSN/SAC codes and tax splits.
- Freelancers with international clients additionally need multi-currency invoicing and correct export-of-services treatment (zero-rated GST, LUT reference) — poorly handled by INR-first, local-business-focused tools.
- Freelancers track expenses inconsistently (spreadsheets, WhatsApp notes to self), so they rarely know their real monthly profit or roughly how much tax they'll owe until it's too late to plan for it.
- Existing tools solve invoicing OR bookkeeping, rarely both in one place, so freelancers still stitch together their financial picture manually.

1.2 Goals

- **Primary:** let a freelancer generate a correct, professional GST invoice (including for international clients) in under 2 minutes.
- **Primary:** give freelancers a single dashboard showing real profit and a rough tax estimate, combining invoicing (income) and expenses.
- **Business:** convert free users to a paid plan at a rate that sustains solo, part-time development for 2+ years without external funding.

1.3 Non-Goals (explicitly out of scope for this PRD)

- Filing GST/income-tax returns on the user's behalf, or providing legal/tax advice — the product shows estimates and prepares data, it does not file or advise.
- Payroll, employee management, or multi-user company accounting (this is for solo freelancers/consultants).
- Live bank-account sync at launch — deferred to Phase 4, gated by real user traction (see Document 1).
- Mobile native apps at launch — responsive web only until Phase 5.

2. Target Users & Personas

2.1 Primary Persona — “Riya, the Freelance Consultant”

Riya, 29, is a freelance UI/UX designer based in Pune. She has 6-8 active clients at any time, roughly half based in the US/Europe. She crossed the GST registration threshold last year and now must issue GST-compliant invoices, but her international invoices confuse her (should GST even apply?). She currently invoices via a mix of Word templates and a free tier of a generic tool, and tracks expenses in a notes app she rarely reviews. She wants to know, honestly, how much she is really making each month after expenses and roughly what she'll owe in tax — without hiring an accountant for day-to-day tracking.

2.2 Secondary Persona — “Aman, the Solo Developer”

Aman takes freelance development contracts alongside a full-time job. He invoices only a handful of times a month but wants it to look professional and be filed correctly for whenever he eventually needs to show income proof (visa, loan application, etc.). He is price-sensitive and would churn quickly if the tool felt bloated or expensive for his low invoice volume.

2.3 Anti-Persona (who this is NOT for, at least initially)

- Small businesses with employees and payroll needs — different product entirely.
- High-volume e-commerce sellers needing inventory-linked invoicing — different tax/workflow complexity.
- Freelancers who already have a dedicated CA/accountant fully managing their books and are happy with that setup.

3. Scope

Scope is defined per the phased roadmap in Document 1. This PRD specifies detailed functional requirements for **Phase 1 (MVP)** and **Phase 2/3** at a lighter level; Phases 4-5 are traction-gated and will get their own PRD addendum once justified by real usage.

3.1 In Scope — Phase 1 (MVP)

- User account creation and login (email + password, JWT-based sessions).
- Business profile setup: business name, GSTIN (optional if not registered), PAN, address, state, invoice number prefix/series.
- Client management: add/edit/list clients, mark a client as domestic or international.
- Invoice creation with line items, automatic HSN/SAC-based tax calculation (CGST+SGST for same-state, IGST for other-state, zero-rated/export for international clients with LUT reference).
- Multi-currency invoicing (USD/EUR/GBP to start) with exchange-rate capture at invoice time.
- GST-compliant PDF invoice generation with sequential invoice numbering.
- Payment link generation (Razorpay) attached to each invoice.
- Payment status tracking (draft / sent / paid / overdue) and manual “mark as paid” fallback.
- Automated email delivery of the invoice + payment link to the client.
- Basic invoice list/dashboard with filtering by status and client.

3.2 In Scope — Phase 2 & 3 (post-MVP, still part of near-term plan)

- Manual expense entry with categories; CSV bank/UPI statement upload with basic auto-categorization.
- Combined profit & loss view (invoiced income minus categorized expenses), by month/quarter.
- Rough GST liability and presumptive income-tax (44ADA) estimate shown as an estimate, not filing advice.
- Automated overdue-payment reminder emails.
- Exporting P&L;/expense data as PDF/CSV for the user's own CA.

3.3 Out of Scope for this PRD (see Document 1, Phases 4-5)

- Live bank/UPI account sync via account-aggregator API.
- GSTR-1/GSTR-3B pre-fill or direct filing integration.
- Recurring/retainer invoice automation.
- Multi-user/team access (e.g. inviting a CA as a collaborator).
- Public API access for third-party integrations.

4. Functional Requirements (Phase 1 — MVP)

Each requirement below includes an ID (for traceability into the backlog), a description, and acceptance criteria in Given/When/Then form.

FR-1 — Account Signup & Login

A freelancer can create an account and log in securely.

#	Given	When	Then
1	A new visitor is on the signup page	they submit a valid email + password	an account is created and they are logged in
2	A registered user is on the login page	they submit correct credentials	they are redirected to their dashboard
3	A registered user submits incorrect credentials	the login form is submitted	an inline error is shown, no account details are leaked

FR-2 — Business Profile Setup

A user configures their business details used on every invoice.

#	Given	When	Then
1	A logged-in user has no business profile yet	they open Settings > Business Profile	they can enter business name, PAN, GSTIN (optional), address, state, invoice prefix
2	A user is not GST-registered	they leave GSTIN blank and save	the profile saves and invoices are generated without a GSTIN line
3	A user enters an invalid GSTIN format	they attempt to save	a validation error is shown and the save is blocked

FR-3 — Client Management

A user can add and manage the clients they bill.

#	Given	When	Then
1	A logged-in user opens the Clients page	they click 'Add Client'	a form appears for name, email, address, country, GSTIN (if domestic)
2	A user marks a client's country as outside India	they save the client	the client is flagged 'international' for later export-invoice logic
3	A user edits an existing client's details	they save changes	past invoices for that client keep their original snapshot of client details

FR-4 — Invoice Creation & Tax Calculation

A user creates an invoice with correct, automatic GST or export treatment.

#	Given	When	Then
1	A user creates an invoice for a domestic client in the same state	they add line items and save	CGST+SGST are calculated and shown per the item's tax rate
2	A user creates an invoice for a domestic client in a different state	they save the invoice	IGST is calculated instead of CGST+SGST
3	A user creates an invoice for an international client	they save the invoice	the invoice is marked export/zero-rated GST and an LUT reference field is available
4	A user selects a foreign currency for an invoice	they save it	the current exchange rate to INR is captured and stored with the invoice

FR-5 — Invoice PDF & Numbering

Every saved invoice produces a compliant, sequentially-numbered PDF.

#	Given	When	Then
1	A user saves a new invoice	the system assigns the next number	the number is unique, sequential, and prefixed per the business profile's configured series
2	A user views a saved invoice	they click 'Download PDF'	a PDF is generated showing business details, client details, line items, tax breakdown, and total

FR-6 — Payment Link & Status Tracking

A user can get paid via a link and track invoice status.

#	Given	When	Then
1	A user finishes creating an invoice	they click 'Send to Client'	a Razorpay payment link is generated and an email with the PDF + link is sent to the client
2	A client pays via the payment link	Razorpay sends a payment webhook	the invoice status updates to 'Paid' and the user receives a confirmation email
3	An invoice's due date has passed unpaid	the daily status check runs	the invoice status updates to 'Overdue' on the dashboard

5. Non-Functional Requirements

Category	Requirement
Performance	Invoice creation (save + PDF generation) completes in under 3 seconds on a typical connection.
Availability	MVP target: best-effort uptime on a single hosted instance (no formal SLA yet) — acceptable given free/hobby-tier hosting budget.
Security	Passwords hashed (Django's default PBKDF2/Argon2); all traffic over HTTPS; JWT tokens short-lived with refresh; Razorpay webhook signatures verified before trusting any payment event.
Data privacy	Financial data (invoices, expenses) scoped strictly per user; no cross-user data access at the API or database level.
Compliance	Invoice numbering must be strictly sequential per business profile (a legal GST requirement) — no gaps or reuse, enforced at the database level.
Browser support	Latest two versions of Chrome, Edge, Firefox, Safari on desktop; responsive layout usable on mobile browsers.
Auditability	Every invoice and payment event is logged with a timestamp; invoices are immutable once sent (edits create a credit note / new version, not an in-place edit).

6. Success Metrics

6.1 Phase 1 (MVP) Launch Metrics

- **Activation:** % of signups who create and send at least one real invoice within 7 days.
- **Correctness proxy:** zero reported GST-calculation errors across the first 100 invoices generated.
- **Retention proxy:** % of activated users who send a second invoice within 30 days.

6.2 Business Metrics (tracked from Phase 1 onward)

- Number of paying subscribers and monthly recurring revenue (MRR).
- Free-to-paid conversion rate, and which feature (invoicing vs. the Phase 3 P&L; dashboard) drives conversion.
- Customer acquisition channel effectiveness (content/SEO vs. community posts), since there is no sales team.

6.3 Exit Criteria to Move Past MVP

Per Document 1's phased roadmap: move to Phase 2 (expense tracking) once a meaningful share of active users are regularly sending invoices and at least a handful are asking for expense/profit visibility — not on a fixed calendar date.

7. Assumptions & Constraints

- Built and maintained solo, part-time (~10-15 hrs/week) alongside a full-time job.
- Total budget ceiling of approximately ₹10,000 until the product generates its own revenue.
- No field sales or cold outreach — user acquisition is via content, SEO, and online freelancer/developer communities.
- Backend: Django + Django REST Framework + PostgreSQL. Frontend: React + TypeScript. (See Document 2 for full technical rationale.)
- Tax/GST logic in the MVP covers common freelancer scenarios (services only, standard rates) — unusual edge cases (composition scheme, mixed goods+services) are explicitly deferred.

7.1 Key Risks

Risk	Impact	Mitigation
Incorrect GST tax calculation damages user trust	High	Validate tax logic against real examples with a CA or experienced freelancer before launch; keep an audit log of every calculation.
Solo, part-time pace means MVP takes longer than 3 months	Medium	Roadmap already assumes part-time pace (Document 1); scope is deliberately minimal for Phase 1 (see Section 3.1).
Low initial signups without a sales team	Medium	Distribution relies on content/SEO/community seeding starting in Phase 0 (Document 1), not paid acquisition.
Payment webhook failures cause invoices to stay 'unpaid' incorrectly	Medium	Webhook handling is idempotent and signature-verified (see NFR, Section 5); manual 'mark as paid' fallback exists (FR-6).

8. Release Criteria (Definition of Done for Phase 1 Launch)

- All FR-1 through FR-6 acceptance criteria pass manual QA across at least 3 real test scenarios (domestic same-state, domestic other-state, international client).
- GST tax logic has been sanity-checked against a real CA or a verified reference example.
- Invoice PDFs render correctly across at least 2 PDF viewers and print correctly.
- Razorpay payment link + webhook flow tested end-to-end with a real (small-value) test transaction.
- Basic error states handled: invalid GSTIN, missing required fields, expired session.
- Deployed on the planned free/hobby-tier hosting (Document 2, Section 2.3) and reachable over HTTPS on a real domain.

9. Open Questions

- Exact pricing for the paid tier (indicative ₹399–₹799/month range) — to be validated during Phase 0 conversations with target users before Phase 1 launch.
- Should the free tier cap by invoice count per month, or by feature (e.g. no PDF branding removal)? — decide based on Phase 0 user interviews.
- Which 2-3 currencies beyond USD/EUR/GBP are actually requested by early users, to prioritize for Phase 1 vs. defer.

This PRD will be revised as Phase 0 research (Document 1, Phase 0) surfaces real user feedback — treat the functional requirements above as the current best plan, not a frozen spec.